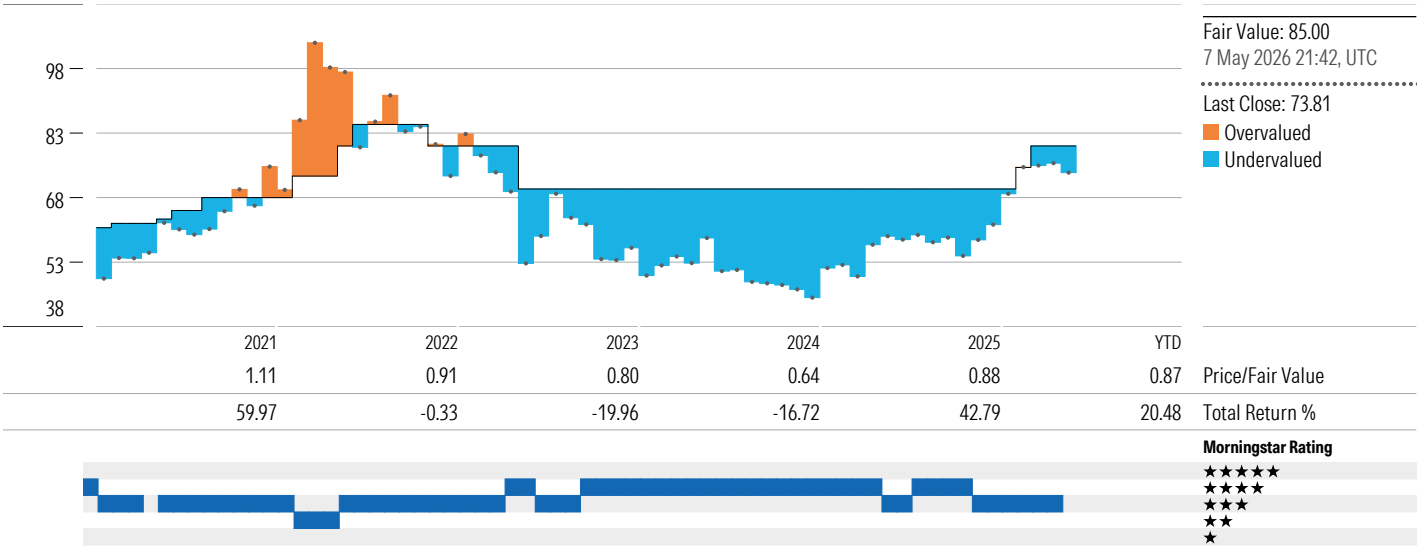
Nutrien Ltd NTR ★★★★ 7 May 2026 21:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
73.81 USD 6 May 2026	85.00 USD 7 May 2026 21:42, UTC	0.87	32.90 USD Bil 7 May 2026	Narrow	Large Value	High	Exemplary	6 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.11	0.91	0.80	0.64	0.88	0.87
Total Return %	59.97	-0.33	-19.96	-16.72	42.79	20.48

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 06 May 2026. Last Close as of 06 May 2026. Fair Value as of 7 May 2026 21:42, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Nutrien Earnings: Shares Fall as Middle East Conflict Resolution Will Alleviate Supply Shock

Analyst Note Seth Goldstein, CFA, Senior Equity Analyst, 7 May 2026

Nutrien reported solid first-quarter results as higher potash and nitrogen prices drove strong profit growth. Nutrien shares were down 7% on May 7 as the market reacted to progress in negotiations to end the Middle East conflict, which would alleviate the nitrogen supply shock.

Why it matters: The Middle East is the largest exporter of nitrogen, typically accounting for over 30% of global exports. A reopening of trade through the Strait of Hormuz will reduce global nitrogen prices as fertilizer sitting at ports can make its way to export destinations around the world.

- However, we see nitrogen prices remaining well above pre-conflict levels for the duration of 2026. Higher prices will be driven by lower production from the Middle East as multiple nitrogen plants are down.
- Natural gas production, the feedstock to make nitrogen, is also greatly reduced in the Middle East and will need to restart. We estimate it will take one to two quarters to restore production and potentially longer if any operations were damaged during the conflict.

The bottom line: We raise our fair value estimate for narrow-moat Nutrien to USD 85/CAD 116 from USD 80/CAD 109. At current prices, we view Nutrien shares as undervalued with the stock trading around 20% below our updated fair value estimate and in 4-star territory.

- Our higher valuation is due to our weighted average cost of capital reduction to 8.0% from 9.5%,

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Sector Basic Materials

Industry Agricultural Inputs

Business Description

Created in 2018 as a result of the merger between PotashCorp and Agrium, Nutrien is the world's largest fertilizer producer by capacity. Nutrien produces the three main crop nutrients—nitrogen, potash, and phosphate—although its main focus is potash, where it is the global leader in installed capacity with a roughly 20% market share. The company is also the largest agricultural retailer in North America and Australia, selling fertilizers, crop chemicals, seeds, and services directly to farm customers through its brick-and-mortar stores and online platforms.

driven by a lower cost of equity assumption. Separately, we lowered our near-term potash price forecast and raised our near-term nitrogen unit production cost forecast for higher US natural gas prices.

- We forecast 2026 urea prices will average $650 per metric ton, over 50% higher than 2025. This is well below current spot prices, which were over $850 per metric ton in April based on World Bank data. We see prices moderating over the course of the year as supply returns to the market.

Business Strategy & Outlook Seth Goldstein, CFA, Senior Equity Analyst, 7 May 2026

Nutrien, the world's largest fertilizer company by capacity, was formed in 2018 as a result of the merger between PotashCorp and Agrium.

Nutrien is the largest agricultural retailer in North America and Australia and also operates in Brazil. The business sells crop inputs and services directly to farmers. In the highly fragmented farm retail industry, Nutrien is pursuing an omnichannel growth strategy by acquiring smaller retail businesses and developing its online presence. As farmers buy more items online, digital retail sales should account for a greater proportion of Nutrien's sales. The company also benefits from selling proprietary and private-label products. The retail segment generated a little less than 30% of EBITDA in 2025, and we expect it will generate around 30% of EBITDA in midcycle conditions with relatively steady cash flows.

In addition to its retail operations, Nutrien produces all three primary crop nutrients. With around 20% market share, Nutrien is the world's largest potash producer by capacity. Its Canadian mines mostly sit on the lower half of the cost curve and have remained profitable even when prices fall to cyclically low levels below the marginal cost of production. Potash generated 35% of EBITDA in 2025 and we expect this to grow to over 40% in midcycle conditions.

Nutrien is also one of the largest producers globally of nitrogen fertilizer, which accounted for around 33% of EBITDA in 2025. The nitrogen business benefits from low-cost production as all nitrogen is produced using low-cost North American natural gas, with input costs split evenly between US and Canadian natural gas. The Canadian operations also benefit from low transportation costs serving Alberta and neighboring regions. Nutrien also has nitrogen plants in Trinidad, which historically accounted for 20% of production, but idled these in 2025 due uneconomic natural gas supply and port access restrictions.

Nutrien also has a fully integrated phosphate operation. It sits on the higher end of the phosphate fertilizer cost curve, but is by far its smallest business. Nutrien is undertaking a strategic review of this business and may divest it in the future.

Bulls Say Seth Goldstein, CFA, Senior Equity Analyst, 7 May 2026

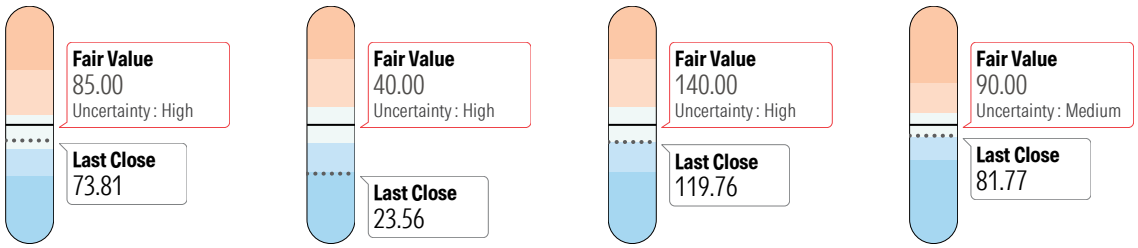
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Competitors



	Nutrien Ltd NTR	The Mosaic Co MOS	CF Industries Holdings Inc CF	Corteva Inc CTVA
Economic Moat	Narrow	None	Narrow	Wide
Currency	USD	USD	USD	USD
Fair Value	85.00 7 May 2026 21:42, UTC	40.00 6 May 2026 18:37, UTC	140.00 6 May 2026 18:29, UTC	90.00 6 May 2026 18:49, UTC
1-Star Price	131.75	62.00	217.00	121.50
5-Star Price	51.00	24.00	84.00	63.00
Assessment	Fairly Valued 7 May 2026	Undervalued 7 May 2026	Fairly Valued 7 May 2026	Fairly Valued 7 May 2026
Morningstar Rating	★★★★7 May 2026 21:47, UTC	★★★★6 May 2026 05:00, UTC	★★★6 May 2026 05:00, UTC	★★★6 May 2026 05:00, UTC
Analyst	Seth Goldstein, Senior Equity Analyst	Seth Goldstein, Senior Equity Analyst	Seth Goldstein, Senior Equity Analyst	Seth Goldstein, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Exemplary	Exemplary
Price/Fair Value	0.87	0.59	0.89	0.91
Price/Sales	1.40	0.62	2.93	3.18
Price/Book	1.47	0.61	4.06	2.31
Price/Earning	16.58	13.68	14.27	45.85
Dividend Yield	2.83%	3.78%	1.56%	0.85%
Market Cap	32.90 Bil	7.28 Bil	18.23 Bil	52.98 Bil
52-Week Range	53.03—85.36	22.74—38.23	75.42—141.96	60.54—85.63
Investment Style	Large Value	Small Value	Mid Value	Mid Blend

- Declining arable land per person will force growers to be more productive and should drive growth in a variety of crop inputs.
- Potash application rates in China and India lag scientifically recommended levels. With these two countries working to secure food supply, increasing potash application is a relatively pain-free way to raise crop yields and food production, which will result in higher demand growth for potash.
- Fertilizer prices will rise as demand will outpace supply in the coming years.

Bears Say Seth Goldstein, CFA, Senior Equity Analyst, 7 May 2026

- Volatile pricing and demand for crop nutrients have characterized Nutrien's business in the past few years, highlighting the cyclical nature of the company's cash flows.
- Long-term oversupply threatens to reduce the marginal cost of production in potash and lower long-term prices. This includes BHP's Jansen greenfield project and brownfield expansions from existing producers.

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- Fertilizer prices will fall over the long term as new low-cost supply enters production. This will weigh on Nutrien's profits.

Economic Moat Seth Goldstein, CFA, Senior Equity Analyst, 7 May 2026

We assign Nutrien a Morningstar Economic Moat Rating of narrow due to its cost advantage in potash and nitrogen.

We expect potash to account for over 40% of midcycle profits. Nutrien's potash mines are located in Canada and sit on the low end of the global cost curve due to favorable geology that results in a lower mining and processing cost versus its peers. Historically, Nutrien's low-cost potash operation came from legacy PotashCorp, which invested in a new low-cost potash mine before the merger that formed Nutrien. Nutrien's potash assets from PotashCorp were firmly in the lowest quartile of the global potash cost curve. Since the merger, Nutrien has integrated the PotashCorp and Agrium assets to optimize costs among its mines. This has resulted in Nutrien's unit production costs sitting in the lowest quartile of the global potash cost curve.

Nutrien's nitrogen business, which we expect to account for roughly 25% of midcycle profits, also benefits from a low-cost position. In nitrogen, feedstock cost is the most important determinant of a producer's cost position. Nitrogen is generally made from natural gas, with some Chinese producers also using anthracite coal. Globally, the lowest-cost natural gas is produced in North America and the Middle East. In recent years, natural gas prices have risen in Europe as the EU works to reduce its reliance on Russian natural gas. For nitrogen production, European producers are generally the marginal cost producers due to a higher natural gas cost. Given our outlook for European natural gas prices to remain well above North American natural gas prices, we think this steepening of the cost curve will benefit low-cost North American producers. For Nutrien, 75% of the company's nitrogen is produced using low-cost North American natural gas, which provides Nutrien with a strong cost-advantaged nitrogen operation. Additionally, the company's nitrogen assets in Alberta, which account for one-third of production, benefit further from low transportation costs as they serve Alberta and neighboring provinces and states, versus competitors that have to ship nitrogen to the region. When Nutrien was formed, roughly two-thirds of its nitrogen production came from low-cost North American natural gas, but the company has invested in brownfield capacity expansions to increase its proportion of low-cost nitrogen production. Over time, we expect Nutrien's North American nitrogen production will grow further in capacity and as a percentage of the company's total production, which should reduce its average unit production costs and strengthen its cost advantage over time. As such, we expect the company to remain a low-cost nitrogen producer.

We don't think the retail business, which we expect to account for around 30% of Nutrien's midcycle profits, warrants an economic moat. The retail business buys fertilizers, crop chemicals, seeds, and other merchandise from wholesale producers and sells them to farmers at a slight markup. For us to be

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confident that this business has a moat, we would need to see a brand intangible asset that leads to the retail business being able to charge higher prices than its competitors or a cost advantage from scale that results in lower costs and higher profits.

As the largest agricultural retailer in North America, Nutrien can offer a better selection of products than regional chain and local co-op competition. That said, we don't think a better product selection translates into significant pricing power with customers or bargaining power with suppliers due to the commoditized nature of crop inputs. While a better product offering may lead farmers to choose Nutrien over smaller competitors, the lack of pricing power prevents us from awarding the retail business an economic moat based on brand intangibles. The retail business also sells proprietary seed, crop protection, and crop nutrient products, which are higher-margin. However, these products make up just 25% of total retail sales, making them less impactful to the business.

Nutrien has also been investing in its digital retail offerings, including an application by which farmers can plan their crop production. This includes field planning, digital agronomy, carbon credit management, and the ability to purchase supplies. Given that a farmer's field data is contained in the app, we think the digital retail business offers traces of switching costs; farmers are unlikely to switch as the app will become an integral part of their business. However, while the app may increase the likelihood that farmers continue to purchase products from Nutrien, we don't think this will translate into long-lasting pricing power. Additionally, Nutrien should generate a growing proportion of retail revenue from its digital offerings. Over time, this should allow the company to close more brick-and-mortar stores, potentially creating a cost advantage over peers that are exclusively brick-and-mortar. While we think Nutrien has a small scale advantage over its smaller peers, this has not translated into higher profits that we would need to see to be confident the company has a cost advantage. As such, we don't think the retail business has an economic moat as the business has yet to show maintainable margin improvement. That said, we view the retail business as a steady cost of capital business that should generate returns on invested capital roughly in line with or slightly above the company's weighted average cost of capital over a cycle.

The phosphate business has a middling position on the cost curve, and as such, we don't think it warrants an economic moat. However, we expect the business to account for well under 5% of Nutrien's midcycle profits, making this business less important among Nutrien's four segments.

Fair Value and Profit Drivers Seth Goldstein, CFA, Senior Equity Analyst, 7 May 2026

We raise our Nutrien fair value estimate to USD 85 from USD 80. We reduce our weighted average cost of capital for Nutrien to around 8% from roughly 9.5%. The reduction is driven by a lower cost of equity assumption due to lower volatility relative to the broader market versus our prior assumption. Separately, we raised our near-term unit production cost forecast to incorporate higher US natural gas

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prices and trimmed our near-term potash forecast since our last update.

Our discounted cash flow valuation uses an 8% weighted average cost of capital and a terminal value multiple of 10.0 times enterprise value/EBITDA to value cash flows after our 10-year explicit forecast.

In the retail business, we expect mid-single-digit profit growth on average through 2030, as the company expands stores through small acquisitions and sells a greater proportion of proprietary and private-label products, which carry higher margins.

In 2026, we forecast potash prices will average $375 per metric ton. This is around $25 higher than the 2025 contracts between India and two major potash exporters, Uralkali and Belaruskali, which were set at USD 349 per metric ton. We expect Canpotex (Mosaic and Nutrien's potash export joint venture), which sells the majority of potash on spot prices, will see prices around this level in 2026. Potash exports from Russia and Belarus were back to historical levels of exports before the Russia-Ukraine conflict began. We see a temporary disruption from lower Middle East exports driving prices higher in 2026. Our long-term potash price forecast is in the mid-USD 300 per metric ton range. We expect little impact from US tariffs, as potash is currently exempt.

In 2026, we forecast urea prices will average $650 per metric ton, over 50% higher than 2025. This is well below current spot prices, which were over $850 per metric ton in April based on World Bank data, as we see prices moderating over the course of the year as the Middle East supply shock begins to alleviate. Our long-term price forecast is based on the marginal cost of urea production. Historically, Chinese coal-based or European natural gas-based nitrogen producers have been the marginal cost players, and we expect this to remain the case. As farmer demand remains strong, we expect nitrogen prices to rise. In the longer term, European natural gas prices eventually stabilize and fall to our midcycle assumptions, setting the marginal cost of urea production at USD 375 per metric ton in 2026 real terms. Over the next several years, Nutrien's margins should benefit from increasing volumes and producing an increasing proportion of nitrogen using low-cost North American natural gas.

Given the wide range of long-term fertilizer prices, we have created additional valuation scenarios. In an upside case, we assume fertilizer prices stay higher for longer as strong demand growth requires a higher-cost supply to enter production. In this scenario, our fair value estimate would rise to USD 120 per share.

In a downside case, we assume fertilizer prices rapidly fall and remain below our base-case midcycle forecast amid weakening demand and persistent oversupply. In this scenario, our fair value estimate would fall to USD 40 per share.

Risk and Uncertainty Seth Goldstein, CFA, Senior Equity Analyst, 7 May 2026

We assign a High Morningstar Uncertainty Rating to Nutrien.

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Fertilizer prices are the largest risks for Nutrien. Fertilizers are among the most volatile commodities, making Nutrien's revenue and profits subject to large swings based on price movements. Other risks include crop prices, weather patterns, and field conditions. Fertilizer demand and prices are also at risk from disruption from genetically modified crops and biologicals that allow crops to use less fertilizer. We see little risk of tariffs to Nutrien, as the company could fully pass along any costs with price increases. Supply shocks to global fertilizer production or the inputs used to produce fertilizers, such as natural gas used to make nitrogen, can create near-term opportunities for Nutrien to benefit from higher prices. Recent examples include the Russia-Ukraine and Middle East conflicts.

Fertilizer production costs are another risk as the profitability of Nutrien's nitrogen business is closely tied to the price of natural gas, which is the largest component of nitrogen production costs. The company is also exposed to underground mining risks associated with potash assets.

Nutrien's largest environmental, social, and governance risks come from potential regulation of the company's carbon and other emissions, effluents, and waste. We view potential new regulation as having a moderate probability to occur but we see a low materiality, as Nutrien already has a plan to reduce carbon emissions in its nitrogen operations and increase the use of more-renewable energy at its potash operations. In the phosphate mining business, we see a risk for environmental remediation, similar to other phosphate producers. We see a moderate probability and materiality.

We also see the risk of a labor strike. There have been strikes in the past, and another one could disrupt mining operations and hurt profits if it is not quickly resolved. We see a low probability but a moderate materiality if this were to occur.

Capital Allocation Seth Goldstein, CFA, Senior Equity Analyst, 7 May 2026

We assign an Exemplary Capital Allocation Rating to Nutrien based on our framework that assesses the balance sheet, investment decisions, and shareholder distributions.

We rate the balance sheet as sound. Nutrien's revenue is subject to high cyclicality. However, with a healthy balance sheet and manageable debt maturities over the next several years, Nutrien is not in danger of being unable to meet its financial obligations.

We view management's investments as exceptional. We are in favor of the decision to invest in cost reductions and capacity expansions in the low-cost potash and nitrogen operations, as these businesses underpin our narrow moat rating. We are also in favor of management's focus on the reduction of unit production costs for the already cost-advantaged potash and nitrogen operations. We expect Nutrien to continue to focus on lowering fertilizer production costs and follow a disciplined approach to fertilizer production. Historically, Nutrien and its predecessor companies, Agrium and PotashCorp, reduced volumes when prices fell. While we expect Nutrien to increase volume when demand rises, we think it's better for a low-cost producer to temporarily reduce volume to support

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prices instead of trying to maintain market share and possibly causing prices to decline by a greater magnitude. We are also in favor of the disciplined capital allocation approach management has taken to its potash and nitrogen operations, choosing to pause or cancel expansions when the return on these investments is unfavorable.

We think the decision to expand the retail business through the acquisition of smaller retail businesses, proprietary products, and digital platforms has contributed to the company's relatively stable and growing profits compared with wholesale-only peers. In our view, the focus on increasing stores' proportion of proprietary products has created value for shareholders. We also think the investments in Nutrien's digital platform will allow the retail business to smoothly transition to the increasing digitalization of the ag input market. We are also in favor of the decision to divest and exit both retail and fertilizer operations in multiple countries outside of North America where the economics were not as favorable. We credit management for being willing to change its growth strategy when the returns did not prove value-accretive.

Along these lines, we are also in favor of the strategic review of the phosphate business. Is the business is sold, we would assess the deal based on the price Nutrien receives but view phosphate as less important to Nutrien's profit generation.

We see shareholder distributions as appropriate. The dividend can generally be paid using free cash flow generated by the more stable retail business. As a result, Nutrien should be able to maintain the dividend even when fertilizer prices are at cyclically low levels. We support share repurchases as well, as Nutrien's stock price is currently below our fair value estimate.

Ken Seitz is CEO and also serves on the board of directors. He was previously interim CEO starting in January 2022 following the resignation of former CEO Mayo Schmidt. Seitz had been the CEO of the potash business since 2019 and brings over 25 years of management experience, including being the former CEO of Canpotex, the potash marketing joint venture between Nutrien and Mosaic.

Analyst Notes Archive

Fertilizer: We Expect Near-Term Prices Will Remain Above Preconflict Levels Despite Ceasefire Deal

Seth Goldstein, CFA,Senior Equity Analyst,8 Apr 2026

The US and Iran agreed to a two-week ceasefire as part of broader negotiations to end the military conflict, with Iran reopening the Strait of Hormuz to shipping traffic. North American fertilizer stocks CF Industries, Mosaic, and Nutrien were down 5%-11% at the time of writing. Why it matters: Nitrogen and phosphate fertilizer spot prices remain up roughly 40% and 10%, respectively, since the US-Iran conflict began. The Middle East accounts for 40% and 20% of global nitrogen and phosphate exports, respectively. The reopening of the Strait of Hormuz should partially alleviate the supply shock as inventory at ports in the Persian Gulf should be able to leave, getting fertilizer to its destinations in time

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Nutrien Ltd NTR ★★★★ 7 May 2026 21:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
73.81 USD 6 May 2026	85.00 USD 7 May 2026 21:42, UTC	0.87	32.90 USD Bil 7 May 2026	Narrow	Large Value	High	Exemplary	6 May 2026 05:00, UTC

for the spring planting season. However, we still think a lot of fertilizer production capacity in the Middle East will remain offline over the near term as liquid natural gas production, the feedstock for nitrogen, remains down. As a result, this should still leave the global market undersupplied and near-term prices higher. The bottom line: We continue to forecast higher 2026 nitrogen and phosphate fertilizer prices. We maintain our $135 fair value estimate for narrow-moat CF Industries, our $40 fair value estimate for no-moat Mosaic, and our USD 80/CAD 109 fair value estimates for narrow-moat Nutrien. We view CF and Nutrien as fairly valued, with both stocks trading in 3-star territory. We view Mosaic as undervalued, with shares trading in 4-star territory. For Mosaic, we point to rising phosphate prices over the next few months as we see a delayed effect of the supply shock. A shortage of sulfur, a key input in phosphate fertilizer, will raise input costs and likely reduce production, thereby supporting higher prices.

Fertilizer: Stocks Soar on Middle East Conflict Supply Shock; Raising Our Valuations Seth Goldstein, CFA,Senior Equity Analyst,12 Mar 2026

Shares of fertilizer producers CF Industries, Mosaic, and Nutrien are up 10%-30% since the beginning of the US-Iran conflict. The conflict disrupts fertilizer production and shipping in the Middle East. Why it matters: The Middle East accounts for 40% of global nitrogen exports, 20% of phosphate exports, and over 10% of potash exports. With the Strait of Hormuz largely closed for fertilizer traffic—and fertilizer production likely affected—we see a near-term supply shock that will raise prices. As a result, we raised our near-term nitrogen, phosphate, and potash price forecasts. While we see a supply shock affecting near-term prices, our long-term forecasts based on the marginal cost of production are unchanged. We see a similarity between the US-Iran conflict disrupting fertilizer supply and the supply shock that occurred when the Russia-Ukraine conflict began in 2022. Fertilizer prices initially rose to record levels in mid-2022, before falling over the subsequent two years as supply returned. The bottom line: We raise our fair value estimate for narrow-moat CF Industries to $135 from $115, no-moat Mosaic to $40 from $35, and narrow-moat Nutrien to USD 80/CAD 109 from USD 75/CAD 103. At current prices, we view shares of CF and Nutrien as fairly valued, with the stocks trading around our updated fair value estimates. We view Mosaic shares as undervalued, with the stock trading more than 20% below our fair value estimate. We expect fertilizer prices and producer share prices to remain volatile in the coming weeks as the US-Iran conflict continues. News that increases the likelihood the conflict will continue longer will likely send shares higher, while news that the conflict is moving toward resolution could tank shares.

North American Fertilizer Producer Stocks Rally on Supply Shock From Middle East Shutdowns Seth Goldstein, CFA,Senior Equity Analyst,2 Mar 2026

North American fertilizer producers CF Industries, Mosaic, and Nutrien saw their shares rise between 4% and 9% in early trading on March 2 following the closure of the Strait of Hormuz and the news that

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QatarEnergy is temporarily shutting down its natural gas production. Why it matters: The Middle East is a large producer of nitrogen and phosphate fertilizers, and we estimate over 10% of global nitrogen urea shipments pass through the Strait of Hormuz. The closure will likely send global nitrogen prices higher as trade flows have to reroute. Natural gas is the largest feedstock input for nitrogen. If natural gas production as well as fertilizer production are halted in the Middle East, nitrogen and phosphate fertilizer prices should rise. Fertilizer prices rose two to three times in 2022 from the supply shock following the start of the Russia-Ukraine conflict. The bottom line: For now, we maintain our $115 fair value estimate for narrow-moat CF Industries, $35 fair value estimate for no-moat Mosaic, and USD 75 (CAD 103) fair value estimate for narrow-moat Nutrien. At current prices, we view CF and Nutrien as fairly valued, with the stocks trading around our fair value estimates and in 3-star territory. We view Mosiac as undervalued, with shares trading a little less than 15% below our fair value estimate and in 4-star territory. Should a nitrogen and phosphate supply shock last throughout 2026, we estimate we would raise our fair value estimates 10% to 20%, depending on the extent of the price movement and longevity of the supply shock.

Nutrien Earnings: Shares Rise on Outlook for Growing Retail Profit; Raising Valuation Seth Goldstein, CFA,Senior Equity Analyst,19 Feb 2026

Nutrien's fourth-quarter earnings reflected higher potash and nitrogen prices, which drove higher companywide profits versus the prior-year quarter. Nutrien shares were up slightly at time of writing on Feb. 19 as the market reacted to the results and guidance for retail profit growth in 2026. Why it matters: Nutrien does not guide to fertilizer profits, which generate around 70% of companywide profits, so the market tends to assume the company's recent results and fertilizer spot price movements are directional indicators of near-term profits. We forecast nitrogen and potash prices will remain stable in 2026 versus 2025 levels. Combined with retail profit growth, we forecast Nutrien will generate slightly higher adjusted EBITDA in 2026 versus 2025. The bottom line: We raise our Nutrien fair value estimate to USD 75/CAD 103 from USD 70/CAD 99. At current prices, we view Nutrien shares as fairly valued, with the stock trading just below our updated fair value estimate and in 3-star territory. Our increased valuation is due to our outlook for higher near-term nitrogen prices and lower unit production costs for Nutrien as a result of the company's shutdown of its higher-cost Trinidad nitrogen operations. This is partially offset by lower nitrogen volumes going forward. Management said it is just beginning the strategic review of its phosphate business. We think Nutrien may end up divesting the business as part of management's strategy to exit lower-return businesses. We think the review makes sense and aligns with our Exemplary Capital Allocation Rating.

Potash: Producer Shares Fall on Deal To Lift US Sanctions on Belarus Potash Seth Goldstein, CFA,Senior Equity Analyst,15 Dec 2025

The US and Belarus made a deal where the US will lift sanctions on Belarus potash in exchange for

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Belarus freeing prisoners. Shares of potash producers Nutrien and Mosaic were down 3%-4% on Dec. 15 at the time of writing on the sanctions being removed. Why it matters: Since the sanctions were imposed in late 2021, the US has not imported potash from Belaruskali, one of the top four global producers. We believe the decline in Nutrien and Mosaic shares is due to the market being worried that potash prices will fall as the sanctions are removed. The bottom line: We see little impact from the US sanctions being removed on potash prices. As such, we maintain our USD 70/CAD 99 fair value estimate for narrow-moat Nutrien and our $35 fair value estimate for no-moat Mosaic. The sanctions helped fuel a near-term supply shock in 2022 that led potash prices to reach all-time highs. Yet, global trade flows began to shift, and prices fell. In our view, Belaruskali is nearly at full production, so lifting sanctions should have a limited impact on global potash supply. At current prices, we view Nutrien shares as fairly valued with the stock trading in 3-star territory. We view Mosaic shares as undervalued, with the stock trading in 4-star territory. Long view: Potash prices now trade at the mid-$300-per-metric-ton range, which is in line with our long-term forecast based on the marginal cost of production. Earlier this year, in response to low prices, Belarus said it may cut potash production, but as prices rose, the supply cut did not materialize.

Nutrien Earnings: Shares Rally as Higher Fertilizer Prices Drive Profit Growth Seth Goldstein, CFA,Senior Equity Analyst,6 Nov 2025

Nutrien reported solid third-quarter results as profits rose versus the prior-year quarter, driven by higher potash and nitrogen prices and reduced retail overhead costs. Nutrien shares were up 3% on Nov. 6 at the time of writing as the market reacted positively to the earnings. Why it matters: Potash and nitrogen generate roughly two-thirds of profits for Nutrien, so higher potash and nitrogen prices will drive profit growth. The results were in line with our view that Nutrien would see improved results in 2025 from higher fertilizer prices. Retail business profit growth was driven by lower overhead costs. This is in line with our view that Nutrien's cost reduction plan would drive profit growth in 2025. The bottom line: We maintain our USD 70 fair value estimate for narrow-moat Nutrien. Our CAD fair value estimate rises to CAD 99 from CAD 97 due to currency movements since our last update. At current prices, we view Nutrien shares as undervalued, with the stock trading in 4-star territory. We forecast potash prices will remain in the mid-$300 range, based on our outlook for the marginal cost of production, which is in line with spot prices. We expect demand and supply will continue to grow roughly in line with each other over the next several years, keeping long-term prices stable. In nitrogen, Nutrien recently shut down its Trinidad operations due to issues with reliable natural gas supply. Trinidad is among Nutrien's higher-cost nitrogen operations, so we think it makes sense to shut down this production and raise production at its low-cost US and Canadian facilities. Between the lines: Nutrien plans to undertake a strategic review of its phosphate business. Nutrien's phosphate business is a higher-cost operation, so we think a divestiture makes strategic sense, especially if Nutrien uses the proceeds to invest in potash and nitrogen or repurchase shares.

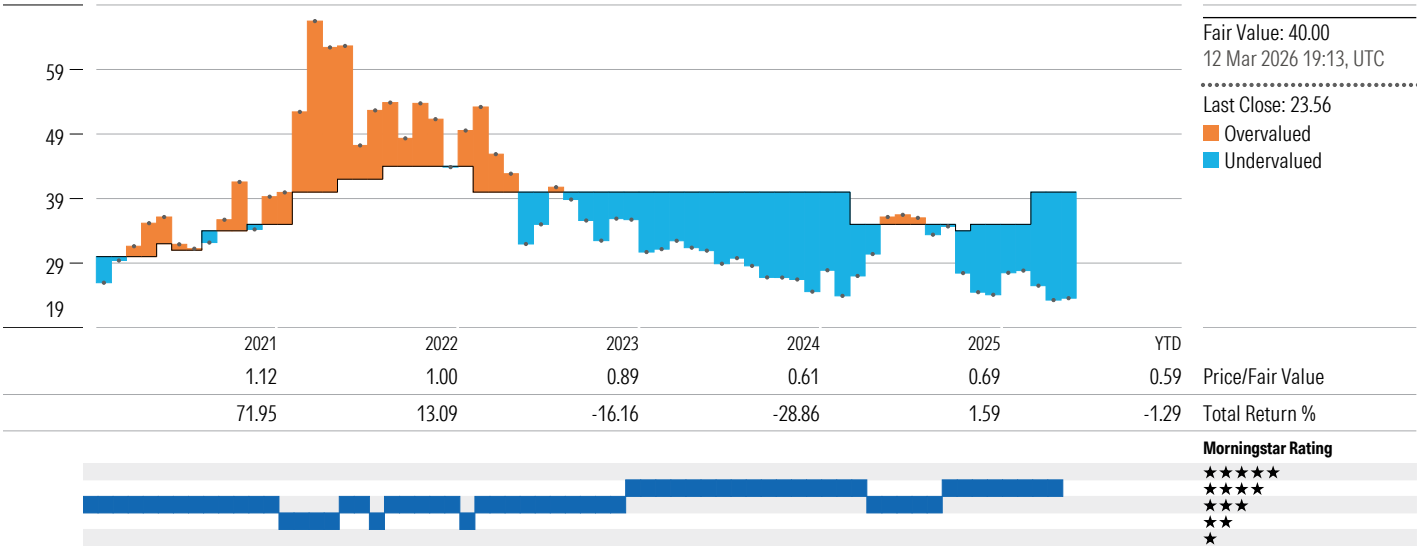
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Competitors Price vs. Fair Value

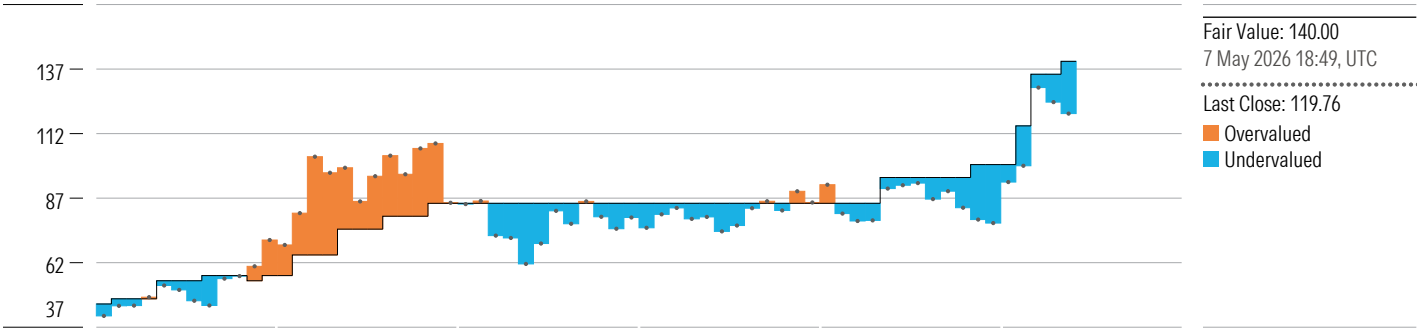
The Mosaic Co MOS



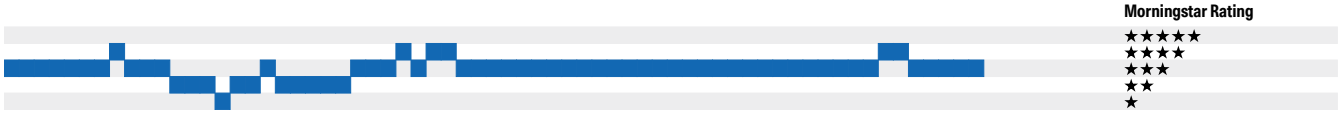
	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.12	1.00	0.89	0.61	0.69	0.59
Total Return %	71.95	13.09	-16.16	-28.86	1.59	-1.29

Total Return % as of 06 May 2026. Last Close as of 06 May 2026. Fair Value as of 12 Mar 2026 19:13, UTC.

CF Industries Holdings Inc CF



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.24	1.00	0.94	1.00	0.77	0.89
Total Return %	85.95	22.49	-4.81	9.84	-7.01	55.50



Total Return % as of 06 May 2026. Last Close as of 06 May 2026. Fair Value as of 7 May 2026 18:49, UTC.

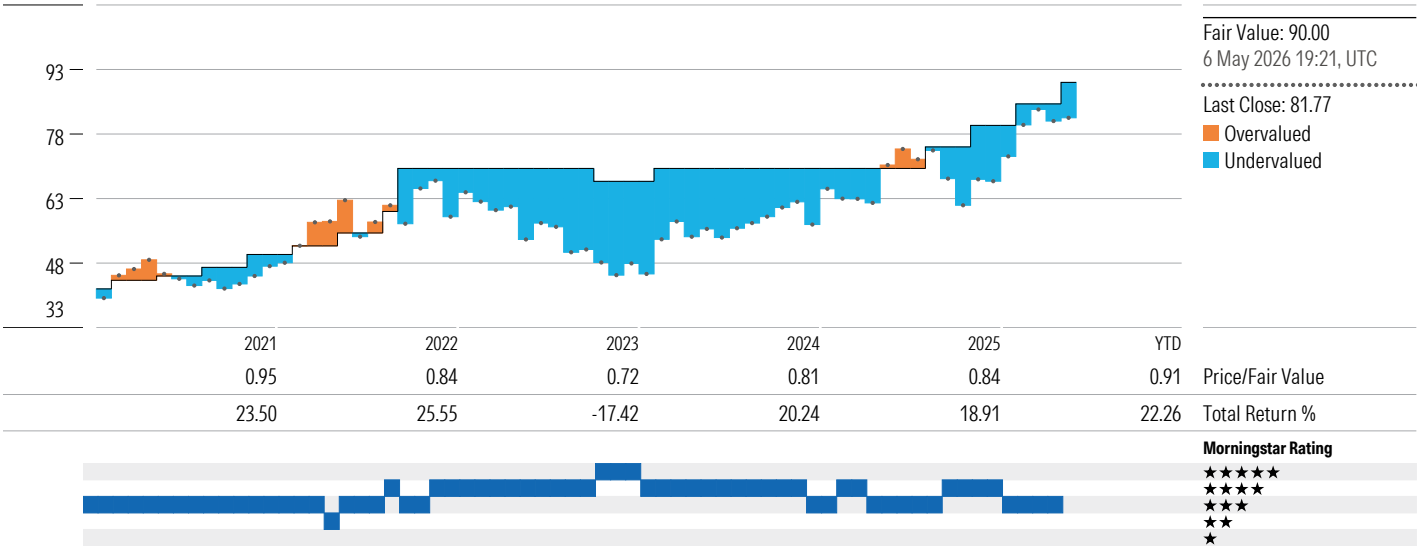
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Competitors Price vs. Fair Value

Corteva Inc CTVA



	2021	2022	2023	2024	2025	YTD	
	0.95	0.84	0.72	0.81	0.84	0.91	Price/Fair Value
	23.50	25.55	-17.42	20.24	18.91	22.26	Total Return %

Total Return % as of 06 May 2026. Last Close as of 06 May 2026. Fair Value as of 6 May 2026 19:21, UTC.

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Morningstar Valuation Model Summary

Financials as of 07 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	29,056	25,972	26,885	31,809	29,047	29,208	29,458	29,935
Operating Income (USD Mil)	4,012	3,112	3,871	5,594	3,981	3,940	3,600	3,582
EBITDA (USD Mil)	4,914	4,195	3,736	7,892	6,250	6,238	5,946	5,958
Adjusted EBITDA (USD Mil)	5,688	4,484	6,046	7,912	6,270	6,258	5,966	5,978
Net Income (USD Mil)	1,258	674	2,267	3,519	2,292	2,259	2,007	1,997
Adjusted Net Income (USD Mil)	2,206	1,718	2,216	3,769	2,492	2,409	2,107	2,047
Free Cash Flow To The Firm (USD Mil)	3,216	2,559	34	3,672	3,358	2,868	2,677	2,680
Weighted Average Diluted Shares Outstanding (Mil)	497	494	487	483	483	483	483	483
Earnings Per Share (Diluted) (USD)	2.53	1.36	4.66	7.28	4.74	4.67	4.15	4.13
Adjusted Earnings Per Share (Diluted) (USD)	4.44	3.48	4.55	7.80	5.16	4.99	4.36	4.24
Dividends Per Share (USD)	2.12	2.16	2.18	2.20	2.24	2.28	2.32	2.36

Margins & Returns as of 07 May 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	10.2	13.8	12.0	14.4	17.6	13.7	13.5	12.2	12.0	13.2
EBITDA Margin %	—	16.9	16.2	13.9	24.8	21.5	21.4	20.2	19.9	—
Adjusted EBITDA Margin %	—	19.6	17.3	22.5	24.9	21.6	21.4	20.3	20.0	21.6
Net Margin %	5.1	4.3	2.6	8.4	11.1	7.9	7.7	6.8	6.7	8.0
Adjusted Net Margin %	7.5	7.6	6.6	8.2	11.9	8.6	8.3	7.1	6.8	8.5
Free Cash Flow To The Firm Margin %	7.0	11.1	9.9	0.1	11.5	11.6	9.8	9.1	9.0	10.2

Growth & Ratios as of 07 May 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	-10.8	-23.3	-10.6	3.5	18.3	-8.7	0.5	0.9	1.6	2.2
Operating Income Growth %	-27.6	-60.6	-22.4	24.4	44.5	-28.8	-1.0	-8.6	-0.5	-1.5
EBITDA Growth %	-29.1	-61.7	-14.6	-10.9	111.3	-20.8	-0.2	-4.7	0.2	17.2
Adjusted EBITDA Growth %	-22.2	-55.7	-21.2	34.8	30.9	-20.8	-0.2	-4.7	0.2	-0.2
Earnings Per Share Growth %	-31.0	-82.2	-46.1	241.8	56.3	-34.9	-1.4	-11.1	-0.5	-2.4
Adjusted Earnings Per Share Growth %	-31.0	-68.4	-21.7	31.1	71.2	-33.9	-3.3	-12.5	-2.9	-2.4

Valuation as of 07 May 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	12.7	12.9	13.6	9.5	14.3	14.8	16.9	17.4
Price/Sales	1.0	0.8	1.1	1.1	1.2	1.2	1.2	1.2
Price/Book	1.1	0.9	1.2	1.3	1.3	1.2	1.2	1.2
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	7.4	8.1	7.2	5.9	7.5	7.5	7.9	7.9
EV/EBIT	10.6	11.6	11.2	8.4	11.8	11.9	13.0	13.1
Dividend Yield %	3.8	4.8	3.5	3.0	3.0	3.1	3.1	3.2
Dividend Payout %	47.8	62.2	47.9	28.2	43.4	45.7	53.2	55.7
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 07 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	2.4	1.3	4.3	6.3	4.1	4.0	3.5	3.4
ROE %	5.0	2.8	8.9	12.8	8.0	7.7	6.7	6.5
ROIC %	7.4	5.8	7.1	10.1	7.2	7.2	6.7	6.7

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Financial Leverage (Reporting Currency)

	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	31.1	36.7	28.7	19.4	18.4	17.5	16.6	15.4
Assets/Equity	2.1	2.1	2.1	2.0	2.0	1.9	1.9	1.9
Net Debt/EBITDA	2.4	2.8	3.0	1.0	0.9	0.7	0.6	0.5
Total Debt/EBITDA	2.2	2.9	2.0	1.3	1.6	1.6	1.7	1.7
EBITDA/ Net Interest Expense	7.2	6.2	8.8	11.6	9.2	9.2	8.8	8.9

Forecast Revisions as of 7 May 2026

	2026		2027		2028	
Prior data as of 12 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	85.00	79.63	—	—	—	—
Revenue (USD Mil)	31,809	35,891	29,047	29,813	29,208	28,666
Operating Income (USD Mil)	5,594	9,219	3,981	5,499	3,940	4,458
EBITDA (USD Mil)	7,912	11,586	6,270	7,771	6,258	6,732
Net Income (USD Mil)	3,769	6,440	2,492	3,588	2,409	2,775
Earnings Per Share (Diluted) (USD)	7.28	12.81	4.74	7.01	4.67	5.43
Adjusted Earnings Per Share (Diluted) (USD)	7.80	13.33	5.16	7.42	4.99	5.74
Dividends Per Share (USD)	2.20	2.20	2.24	2.24	2.28	2.28

Key Valuation Drivers as of 07 May 2026

Cost of Equity %	8.9
Pre-Tax Cost of Debt %	5.4
Weighted Average Cost of Capital %	7.9
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	4.0
Stage II Investment Rate %	0.0
Perpetuity Year	11

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 07 May 2026

	USD Mil
Present Value Stage I	19,461
Present Value Stage II	30,122
Present Value Stage III	0
Total Firm Value	**49,583**
Cash and Equivalents	701
Debt	10,223
Other Adjustments	0
Equity Value	**40,061**
Projected Diluted Shares	483
Fair Value per Share (USD)	**85.00**

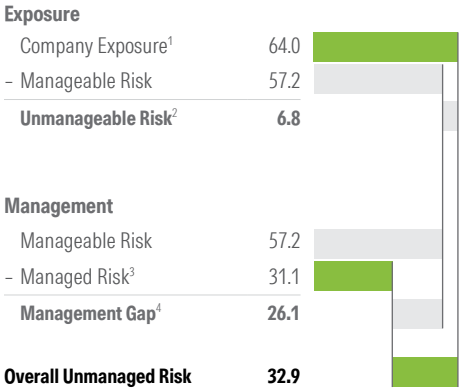
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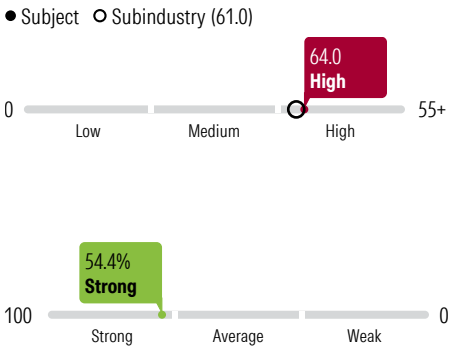
MORNINGSTAR®

Nutrien Ltd NTR ★★★★ 7 May 2026 21:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
73.81 USD 6 May 2026	85.00 USD 7 May 2026 21:42, UTC	0.87	32.90 USD Bil 7 May 2026	Narrow	Large Value	High	Exemplary	6 May 2026 05:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 54.4% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 06, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Agricultural Chemicals. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 06 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Nutrien Ltd	64.0 | High	0	55+	54.4 | Strong	100	0	32.9 | High	0	40+
CF Industries Holdings Inc	56.7 | High	0	55+	49.4 | Average	100	0	31.7 | High	0	40+
The Mosaic Co	59.2 | High	0	55+	51.7 | Strong	100	0	31.7 | High	0	40+
Corteva Inc	59.1 | High	0	55+	50.2 | Strong	100	0	32.6 | High	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Nutrien Ltd NTR 6 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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The Mosaic Co MOS 6 May 2026 05:00, UTC

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CF Industries Holdings Inc CF 6 May 2026 05:00, UTC

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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Corteva Inc CTVA 6 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

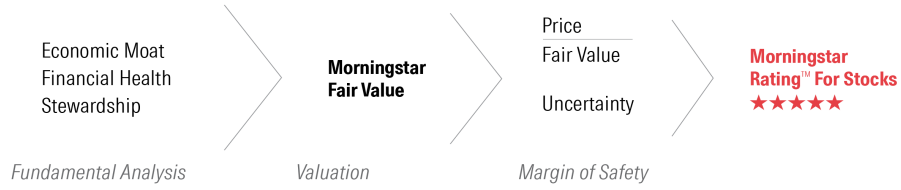
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

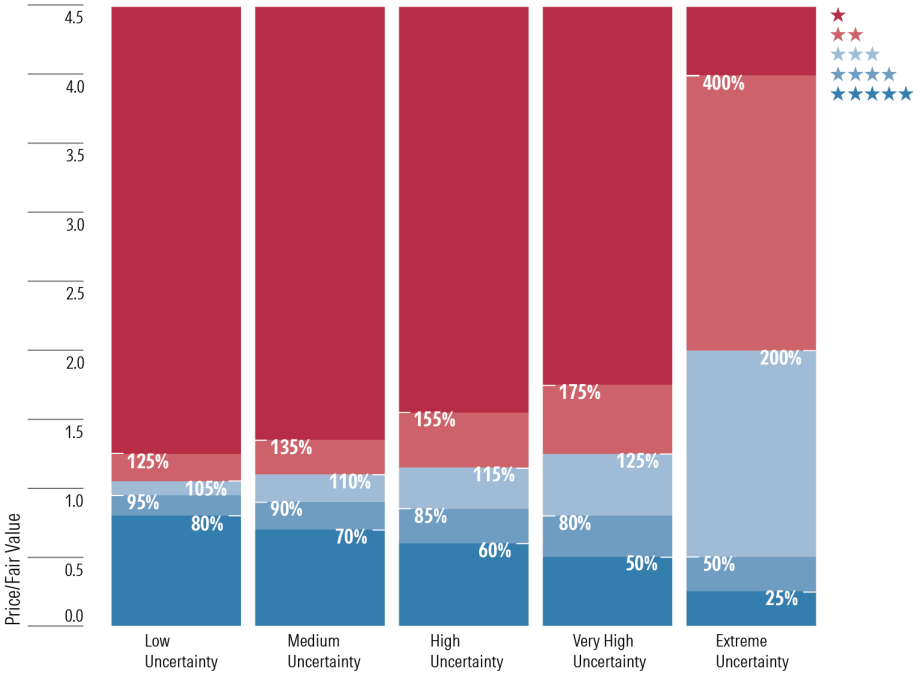
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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